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FUNERAL ASSURANCE SECTOR REPORT

THIRD QUARTER-ENDED
30 SEPTEMBER 2021

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This report relates to funeral assurance business written by funeral assurers only and does not relate to funeral assurance business written by life assurers. The funeral assurance business generated by life assurers is reported in the life assurance report.

Growth referred to in this report is nominal growth unless stated otherwise.

* Income statement figures were adjusted using year-on-year inflation of 51.5 % reported for the month of September 2021. Source:

<https://www.rbz.co.zw/index.php/research/markets/inflation>

**Balance sheet figures were not adjusted due to the unavailability of quarterly inflation figures. Therefore, balance sheet figures are compared on a nominal basis.

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ABBREVIATIONS

GPW	Gross Premium Written
IPEC	Insurance and Pensions Commission
MCR	Minimum Capital Requirement
PA	Prescribed Assets/Securities as defined by the Insurance Act [Chapter 24:07]
S.I	Statutory Instrument
TCF	Treating Customers Fairly
ZICARP	Zimbabwe Integrated Capital and Risk Programme



1. Executive Summary

- 1.1. For the nine months under review, the number of registered and operating funeral assurers stood at eight (8).
- 1.2. The funeral assurance sector's inflation-adjusted GPW increased by 311.72% from ZW\$136.40 million reported for the nine months ended 30 September 2020 to ZW\$561.6 million for the nine months ended 30 September 2021.
- 1.3. As at 30 September 2021, five (5) out of the eight (8) funeral assurers were compliant with the regulatory minimum capital requirement of ZW\$62.50 million, as prescribed in Statutory Instrument 59 of 2020.
- 1.4. The funeral assurance sector's total assets increased by 5.11% from ZW\$2.26 billion as at 30 June 2021 to ZW\$2.37 billion as at 30 September 2021.
- 1.5. All funeral assurers were not compliant with the minimum prescribed asset ratio with an average prescribed asset ratio of 0.33% against a required ratio of 10%, stipulated in Statutory Instrument 206 of 2019.
- 1.6. The total amount invested in prescribed assets was only ZW\$7.77 million against the required minimum amount of ZW\$237.27 million to comply with the minimum prescribed asset threshold of 10%.
- 1.7. Total technical liabilities for the funeral assurance sector increased by 15% in nominal terms from ZW\$1.13 billion as at 30 June 2021 to ZW\$1.30 billion as at 30 September 2021, with future policyholders' benefits being the major component constituting 99.23% of the technical liabilities.
- 1.8. Profit before tax for the funeral assurance sector increased by 957% in nominal terms from ZW\$13.21 million for nine months ended 30 September 2020 to ZW\$139.68 million for the comparative period in 2021. After adjusting for inflation, the profit before tax increased by 597% from ZW\$13.21 million to ZW\$92.19 over the same period.
- 1.9. For the nine months ended 30 September 2021, two players dominated the funeral assurance sector in terms of GPW, with a total market share of 81%. The remaining six (6) funeral assurers accounted for the 19% difference.
- 1.10. None of the funeral assurers had any reinsurance arrangement(s) in place for the nine months to 30 September 2021.

2. Introduction

2.1. The Insurance and Pensions Commission (IPEC) is a statutory body mandated with regulating, supervising and developing the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe.

2.2. This report outlines the funeral assurance sector developments and IPEC's various activities in the funeral assurance sector consistent with its statutory mandate during the nine months ended 30 September 2021.

3. Terms of Reference

3.1. The activities of the Commission are guided by the following Acts and their Regulations:

3.1.1. Insurance and Pensions Commission Act [*Chapter 24:21*];

3.1.2. Pension and Provident Funds Act [*Chapter 24:09*];

3.1.3. Insurance Act [*Chapter 24:07*];

3.1.4. Money Laundering and Proceeds of Crime Act [*Chapter 09:24*];

3.1.5. Finance Act [*Chapter 23:04*];

3.1.6. Public Entities and Corporate Governance Act [*Chapter 10:31*];

3.1.7. Public Finance Management Act [*Chapter 22:19*]; and

3.1.8. Public Procurement and Disposal of Public Assets Act [*Chapter 22:23*]



4 . ECONOMIC DEVELOPMENTS

4.1.COVID-19 Updates

The global cumulative number of Covid-19 cases stood at 233.2 million as at 30 September 2021, up from a cumulative total of 180 million cases recorded as at 30 June 2021. The death toll rose close to 5 million in the third quarter of 2021, up from 4 million recorded as at 30 June 2021 (WHO, 2021).

By the end of the third quarter, about 2.5% of the Sub-Saharan population was fully vaccinated. Regrettably, this is well below the level needed to reach herd immunity and far short of vaccination rates seen in advanced economies (60%) and other emerging markets and developing economies (35%) (IMF 2021). The IMF has a proposed plan to vaccinate at least 40% of the population in every country by the end of 2021 and 70% by mid-2022, alongside ensuring adequate diagnostics and therapeutics (*Agarwal and Gopinath 2021*). The plan is jointly endorsed by the World Health Organization, the World Bank, and the World Trade Organization and is at an estimated cost of about \$50 billion. There is an urgent call for countries with high vaccination levels to donate vaccines. To reach the 40% goal by 31 December 2021, the G20/G7 countries are expected, among other measures to: (i) fulfil existing donations to COVAX of about 550 million doses, (ii) swap vaccine delivery schedules with COVAX to bring forward 400 million doses by year end, (iii) ensure AVAT can deliver over 70 million Johnson and Johnson doses also by year end and (iv) eliminate trade and regulatory barriers to trade of vaccine raw materials and finished doses as well as other Covid-19 health equipment.

Zimbabwe had a cumulative total of 130,820 Covid-19 cases as at 30 September 2021, up from 49,864 cases recorded as at 30 June 2021. A total of 2, 271, 135 people, which translate to 22.7% of the targeted population had been fully vaccinated as at 30 September 2021 and this is significantly higher than 777,161 people fully vaccinated as at 30 June 2021. The national recovery rate at the end of the third quarter was 94%, which is 16 percentage points higher than the end of the second quarter recovery rate of 78%.

4.2. Covid-19 Impact on Businesses at Global and National Level

Global tourism remains subdued, with travel restrictions depressing cross-border tourist activity. The tourism-dependent countries in the Sub-Saharan region such as Cabo Verde, Mauritius, and Seychelles remain vulnerable to the international travel and tourism shocks emanating from the pandemic. In the case of Zimbabwe, however, the level of regional and domestic tourism activity is likely to improve following the relaxation of Covid-19 restrictions owing to improved vaccination levels during the quarter under review. As a result, the Victoria Falls and Kazungula border posts were re-opened, and the ban on sit-in patrons for restaurants was lifted, allowing them to re-open for fully vaccinated sit-in patrons.

Activities in sectors such as mining and agriculture were not severely affected by Covid-19 lockdown measures, as they were categorised as essential services.

The construction sector also remained strong under Covid-19, on the backdrop of Government projects such as, institutional accommodation for the public sector, roads rehabilitation, and dam construction.

Capacity utilisation in the manufacturing sector increased from 54% reported in the second quarter of 2021 to 58%, following the opening up of the economy owing to improved Covid-19 vaccination uptake. The increased capacity was also supported by improved access to foreign currency and output in the agricultural sector.

Covid-19 also impacted the insurance value chain in Zimbabwe as regulated entities embraced remote working. The transition to remote working led to the adoption of digital technologies, which increased data security and privacy risks in the insurance sector.

4.3. Global and Regional Growth Prospects

The global economic recovery has weakened, due to the resurging pandemic. IMF projected the global economy to grow by 5.9% in 2021 and 4.9% in 2022, while the World Bank's global growth forecast is 2.4% in 2021 and 4.9% in 2022. The downward revision for 2021 reflects a downgrade for advanced economies and low-income countries.

The advanced economies' growth rate is forecast to reach 5.2% in 2021 and 4.5% in 2022. The growth prospects for 2021 were revised downwards by 0.4 percentage points compared to the July 2021 forecast, at the backdrop of inventory drawdowns caused by supply chain disruptions and shortages of key manufacturing inputs.

IMF's 2021 growth forecast for the Emerging Markets and Developing Economies (EMDEs) was reviewed upwards by 0.1 percentage points from the July 2021 projections to 6.4%, attributed to improved prices for commodity exports. Table 1 below, summarises the world economic outlook projections.

Table 1: World Economic Outlook Projections

	2020	2021*	2022*
World Output	-3.3	5.9	4.9
Advanced Economies	-4.7	5.2	4.5
USA	-3.5	6.0	5.2
Euro Area	-6.6	5.0	4.3
Emerging Markets and Developing Economies	-2.2	6.4	5.1
China	2.3	8.1	5.7
Sub-Saharan Africa	-1.9	3.7	3.8
Nigeria	-1.8	2.6	2.7
South Africa	-7.0	5.0	2.2
Zimbabwe	-4.1	5.1	3.1

Source: October 2021 World Economic Outlook Update, IMF. * Projections

Sub-Saharan Africa is set to grow by 3.7% in 2021 and 3.8% in 2022, supported by increased agricultural production, improvement in global trade, and commodity prices.

4.4. Domestic Economic Performance

The Government's growth forecast of 7.8% in 2021 and 5.4% in 2022, will be supported by:-

- i. Continued stable macroeconomic environment through prudent fiscal and monetary policies;
- ii. A bumper agricultural output on the back of relatively good 2020/2021 and 2021/2022 seasonal rains;
- iii. A global commodity price boom; and
- iv. A successful Covid-19 vaccination programme among others.

The country's efforts to stabilise the local currency, lower inflation, and contain budget deficits will also enhance domestic growth.

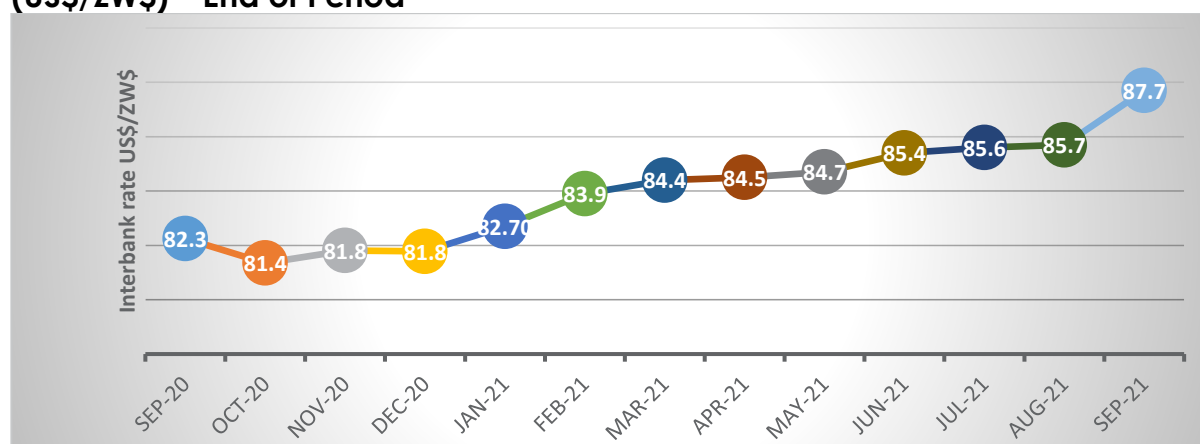
The IMF projects a growth rate of 5.1% in 2021 and 3.1% in 2022 for Zimbabwe, largely supported by increased agricultural output, energy production and manufacturing, and construction activities. On the other hand, the World Bank forecasts a conservative growth of 2.9% in 2021 and a more significant growth of 5.1% in 2022.



4.5. Exchange Rate Movements

The Zimbabwe dollar (ZW\$) remained relatively stable against the US dollar during the third quarter, sliding by 2.7%, from an average of US\$1:ZW\$85.4 recorded at the end of the second quarter to US\$1:ZW\$87.7 recorded at the end of the third quarter of 2021. However, the parallel market exchange rate rose from about US\$1: ZW\$140 as at 30 June 2021 to about US\$1: ZW\$160 as at 30 September 2021. The foreign currency auction system is contributing immensely to bringing transparency in the trading of foreign currency, thus fostering stability in the exchange rate and engendering price stability. The interbank exchange rate movements during the period of September 2020 to September 2021 are illustrated in Figure 1.

Figure 1: Interbank Exchange Rate September 2020 to September 2021 (US\$/ZW\$) – End of Period



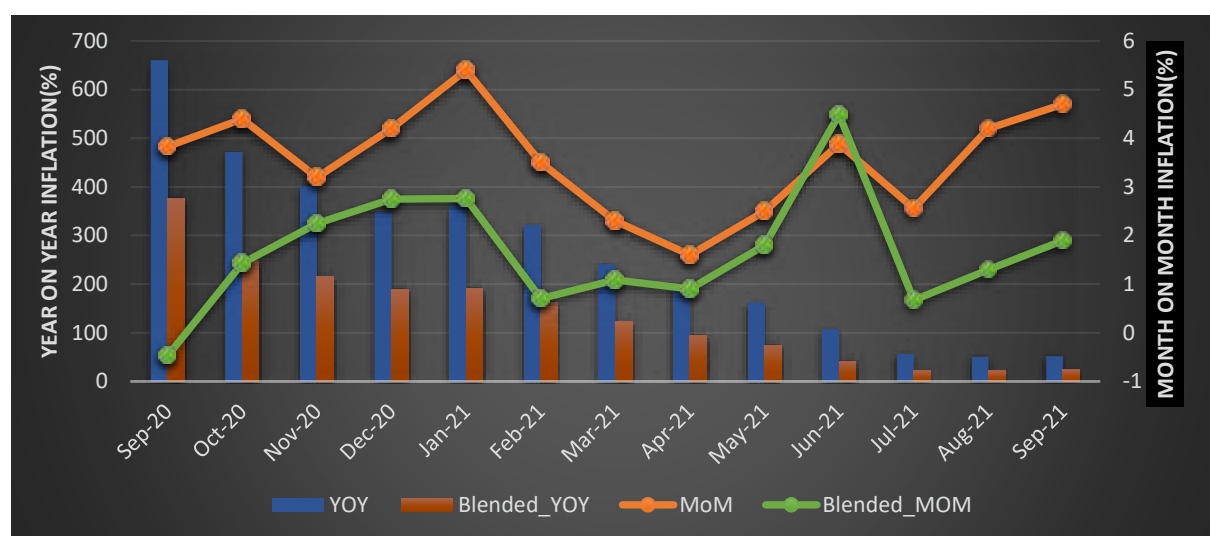
Source: Reserve Bank of Zimbabwe

4.6. Inflation Developments

According to the Zimbabwe National Statistics Agency, the annual headline inflation decelerated from 106.64% registered in June 2021 to 51.50% recorded at the end of the third quarter of 2021. A combination of tight monetary policy, non-monetisation of fiscal deficits, and fiscal policy consolidation measures implemented by the Government to date, has contributed to a sustained decline in annual inflation. Going forward, the Government seeks to ensure inflation is maintained within the SADC macroeconomic convergence benchmark of 3-7%.

The month-on-month inflation rose to 4.7% in the third quarter, from 3.88% recorded at the end of the second quarter of 2021 (ZIMSTAT, 2021). The inflationary pressure emanated from an increase in international food and oil prices and indexation of prices of goods and services to parallel market exchange rates. Figure 2 illustrates the inflation profile between September 2020 and September 2021.

Figure 2: Inflation profile (%), September 2020 – September 2021



Source: Zimbabwe National Statistics Agency

The slowing down of annual inflation enhances investor confidence in the economy. The insurance and pensions industry continues to be heavily invested in investment property and quoted equities, as a way of hedging against inflation and preserving value. Therefore, the downward trend is a welcome development.

4.7. Zimbabwe Stock Exchange Performance Highlights

The Old Mutual Zimbabwe's Stock Exchange Top 10 Exchange Traded Funds (ETF) is a development that provides the platform for the insurance and pensions industry to diversify its investment portfolio. According to the rebalancing that was done by the Zimbabwe Stock Exchange on 30 September 2021, Delta Corporation Limited (21.15%) has the highest ETF weights in terms of shares that are held by the Old Mutual ZSE Top 10 ETF

followed by Econet Wireless Zimbabwe Limited (19.81%), and Cassava SmarTech Zimbabwe Limited (11.98%).

Bullish sentiments characterised the Zimbabwe Stock Exchange (ZSE), during the third quarter of 2021. Resultantly, major indices increased except the mining index. The All-Share, Top 10, and Medium Cap gained 38.50%, 53.98%, and 19.12% to close at 8580.16 points, 4857.20 points, and 20599.24 points, respectively. The mining index shed 4.66% to close at 6014.53 points. The volume of shares traded increased by 51.80%, translating to an 88.68% increase in the market turnover. Table 2 shows the quarterly changes in the key stock market indicators.

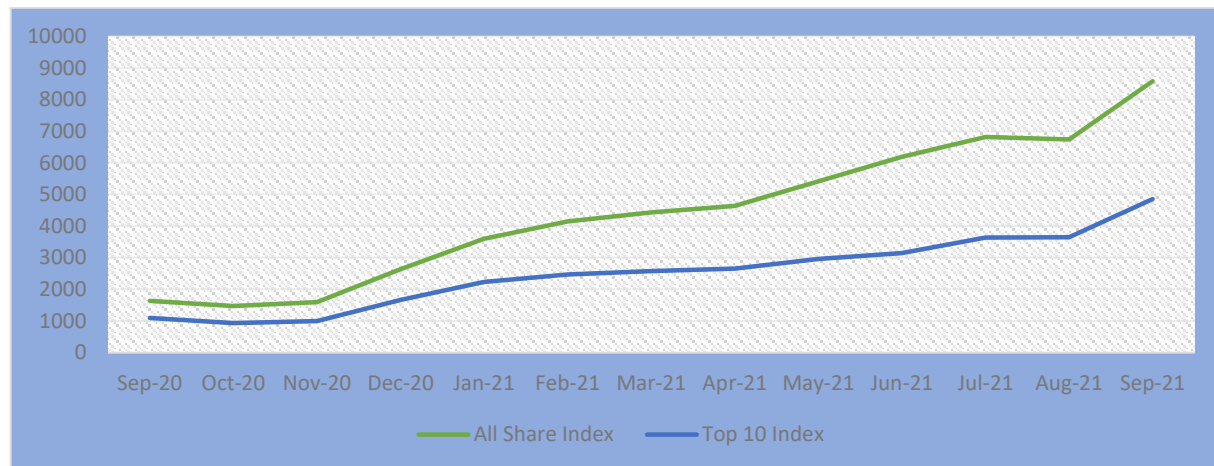
Table 2: Changes in the Key Stock Market Indicators

ZSE Indicator	Jun-2021	Sept-2021	Change (%)
All-share index (points)	6194.88	8580.16	38.50 ▲
Top 10 Index (points)	3154.44	4857.20	53.98 ▲
Medium Cap Index (points)	17293.13	20599.24	19.12 ▲
Small Cap Index (points)	201439.5	254232.9	26.21 ▲
Mining Index (points)	6308.43	6014.53	-4.66 ▼
Shares traded (million)	45.71	69.39	51.80 ▲
Market turnover (ZW\$ million)	743.61	1403.07	88.68 ▲

Source: Zimbabwe Stock Exchange (ZSE). ▲ Indicates positive change/gain, and ▼ negative change

Figure 3 shows developments on the ZSE's All-Share and Top 10 indices from the end of September 2020 to the end of September 2021.

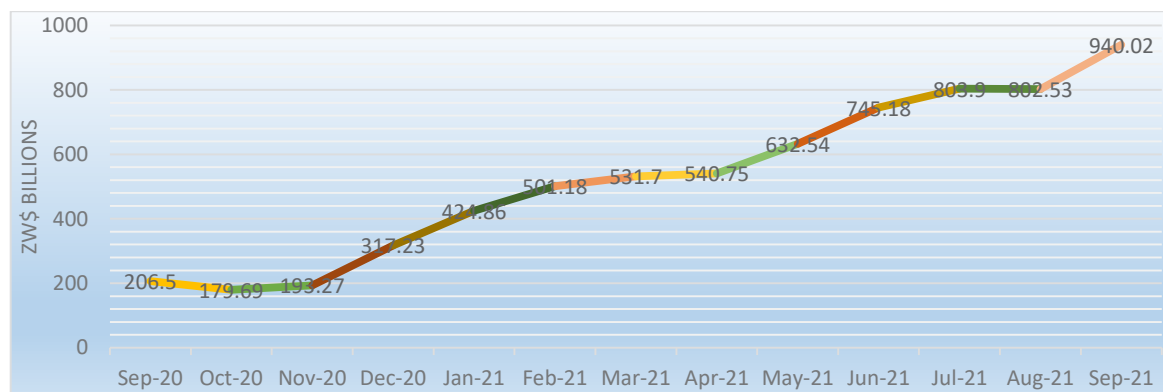
Figure 3: Zimbabwe Stock Exchange All Share and Top 10 Indices



Source: Zimbabwe Stock Exchange

The local bourse gained ZW\$194.84 billion, or 26.15% worth of capitalisation to close at ZW\$940.02 billion during the quarter ending September 2021, from ZW\$745.18 billion recorded in the second quarter. Figure 4 shows the market capitalisation trend for the period of September 2020 to September 2021.

Figure 4: Daily Market Capitalisation in ZW\$ Billions



Source: Zimbabwe Stock Exchange

4.8. Victoria Falls Stock Exchange (VFEX) Performance Highlights

A new addition Padenga Holdings has now been listed on the Victoria Falls Stock Exchange (VFEX) effective July 2021, joining Seedco International which was already trading at VFEX. As of 30 September 2021, the two counters recorded a turnover of US\$473, 336.01 from a cumulative volume of trades of

1, 833, 829 shares. During the quarter under review, the total number of trades recorded was ninety-six (96) and capitalisation was US\$208, 321, 441.69.

The Victoria Falls Stock Exchange signed a strategic Memorandum of Understanding with the Dubai Gold and Commodities Exchange (DGCX) in September 2021 to strengthen bilateral cooperation around commodities trading. As part of the agreement, the DGCX will extend technical support, knowledge and skills to VFEX, with the ultimate aim of establishing an international commodities exchange in Zimbabwe.

4.9. Money Market Developments

Savings Deposit Rates

The average nominal savings deposit rates were lower than the annual inflation rate of 51.5% recorded as at 30 September 2021, implying a reduced margin of negative real returns because of falling inflation experienced during the entire quarter under review. There was an increase in average maximum nominal savings deposit rates from 4.24% as at 1 July 2021 to 8.36% as at 24 September 2021, translating to a negative end of quarter real return of 28%. The maximum one-month nominal deposit rate increased to 12.83% as at 24 September 2021 from 10.77% as at 1 July 2021, with a negative end of quarter real return of 26%. The three-month nominal deposit rate increased to a maximum of 14.03% as at 24 September 2021, 11.72% recorded at the beginning of the quarter, translating to an end of quarter real return of -25%.



5. Performance in terms of Business Written

- 5.1. The funeral assurance sector's inflation adjusted GPW increased by 312 % from ZW\$136.40 million for the nine months ended 30 September 2020 to ZW\$561.6 million for the nine months ended 30 September 2021.
- 5.2. In nominal terms, new business accounted for a 15% increase in GPW from ZW\$19.86 million during the first nine months of 2020 to ZW\$22.76 million reported for the comparative period in 2021.
- 5.3. The increase in GPW was also on account of premium increases as funeral assurers sought to align both the premiums and policyholder benefits in response to the dynamic inflationary macroeconomic environment.
- 5.4. This is evidenced by the sharp increase in recurring business of 611% from ZW\$116.54 million for the nine months ended 30 September 2020 to ZW\$828.07 million for the nine months ended 30 September 2021.
- 5.5. All the players recorded significant growth of above 100% in GPW, and none of the players recorded negative growth.
- 5.6. The funeral assurance sector continues to face intense pressure and competition from life assurers writing funeral business. For the nine months ended 30 September 2021, life assurers wrote inflation-adjusted funeral assurance business amounting to ZW\$5.01 billion which was approximately nine times more, as compared to ZW\$561.6 million written by the dedicated funeral players.
- 5.7. A detailed breakdown of GPW per funeral assurer in terms of recurring and new business is shown in Appendix 4. A summary of the GPW per company is shown in Table 3.

Table 3: Gross Premium Written Per Company (ZWS 000)

Name of Company	Sep-21	Sep-20	Sep Inflation Adjusted -21	Change Inflation Adjusted -	Nominal Change (%)
First Funeral	176,885.24	23,708.43	116,718.29	392.47%	646.09%
Foundation	34,496.63	6,106.35	22,762.71	272.89%	464.93%
Moonlight	513,408.61	86,639.60	338,774.33	291.14%	492.58%
Orchid	1,514.93	237.89	999.63	320.34%	536.81%
Passion	40,585.84	6,532.64	26,780.70	310.08%	521.28%
Ruvimbo	22,870.37	4,105.89	15,091.09	267.67%	457.01%
Sunset	7,146.45	456.46	4,715.61	933.42%	1465.63%
Vineyard	53,915.44	8,614.70	35,576.28	313.11%	525.85%
TOTAL	850,823.51	136,401.96	561,418.64	311.72%	523.76%

6. Capitalisation

6.1. As at 30 September 2021 five (5) out of the eight (8) funeral assurers were compliant with the regulatory minimum capital requirement of ZWS62.50 million as prescribed by Statutory Instrument 59 of 2020.

6.2. The Commission is instituting a raft of measures to ensure compliance by the non-compliant entities and continues to urge those players who have submitted their re-capitalisation plans to adhere to their compliance roadmaps to ensure that they are always capitalised.



6.3. As at 30 September 2021, the capital positions for funeral assurers ranged from ZW\$6.09 million to ZW\$161.85 million as shown in Table 4 below.

Table 4: Capitalisation Trend Levels

Name of Company	Sep-21 (ZW\$000)	June-21 (ZW\$000)	Mar-21 (ZW\$000)	Dec-20 (ZW\$000)	Sept-20 (ZW\$000)	Jun-20 (ZW\$000)
First Funeral	161,856.58	158,429.61	157,277.77	155,996.11	71,839.40	51,157.52
Foundation	76,621.11	102,307.11	74,966.11	54,498.69	54,176.80	75,978.70
Moonlight	110,955.67	182,516.13	764,745.18	91,655.50	67,506.00	27,993.59
Orchid	6,087.46	4,886.86	5,321.63	5,851.55	5,980.13	5,984.12
Passion	23,067.36	17,118.51	6,487.44	6,154.08	3,755.80	3,687.27
Ruvimbo	62,163.37	37,318.15	58,466.03	56,230.64	62,141.92	38,688.05
Sunset	106,242.03	105,394.14	204,356.29	101,255.55	103,965.22	<i>Did not Submit</i>
Vineyard	64,991.46	64,248.83	58,181.55	56,566.74	53,171.59	57,716.10
Total	611,985.03	672,219.34	1,329,801.99	528,208.85	422,536.86	261,655.34

Key

	Undercapitalised
	Capitalised



7. Asset Quality

7.1.Total assets for the funeral assurance sector increased by 5.11% from ZW\$2.26 billion as at 30 September 2020 to ZW\$2.37 billion as at 30 September 2021.

7.2.The asset base for the funeral assurance sector remains highly concentrated in immovable property consisting of 78% of total assets.

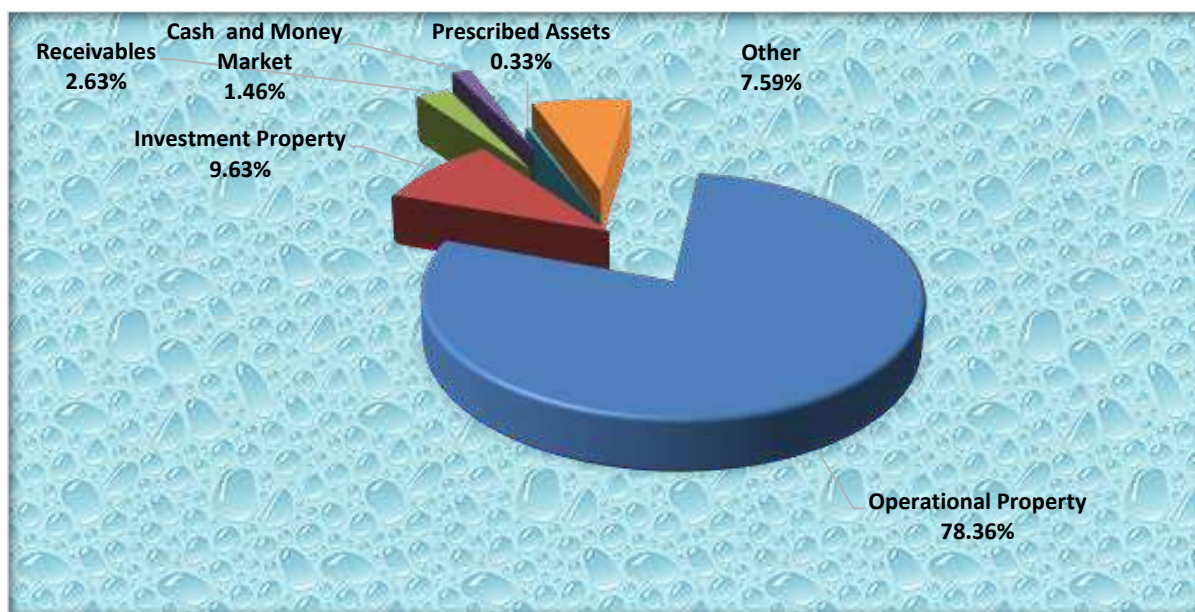
7.3.This indicates a high concentration of investments in assets used for funeral service provision which are important for the sector. This is one of the reasons why the sector has managed to stay afloat during the increase in Covid-19 related death claims.

7.4.The Commission urges sector players to be cautious and hold assets that match their liability profiles in view of their policies that have cash benefit components.

7.5.Investments in equities, cash, and money market investments were held in very small proportions relative to the overall asset portfolio.

7.6.The distribution of assets for the funeral assurance sector is shown in Figure 5 below.

Figure 5: Breakdown of Assets



- 7.7. As at 30 September 2021, all funeral assurers were not compliant with the minimum prescribed asset ratio of 10%, as stipulated by Statutory Instrument 206 of 2019. Prescribed asset investments were insignificant as they accounted for an average of only 0.33% of the total asset portfolio.
- 7.8. The total amount invested in prescribed assets was ZW\$7.77 million against a minimum amount of ZW\$237.27 million, for the sector to comply with the 10% minimum prescribed asset threshold.
- 7.9. The Commission continues to monitor funeral assurers' compliance roadmaps through monthly updates.
- 7.10. The Prescribed Asset Investments Working Group that was constituted by the Commission recommended the development of sector-specific project initiatives that speak to industry needs for the possible conferment of prescribed asset status.
- 7.11. Funeral assurers are, accordingly, called upon to come up with projects that can be accorded prescribed asset status as a way of improving their compliance.
- 7.12. Table 5 below shows the compliance levels with prescribed assets for each funeral assurer.

Table 5: Prescribed Assets Levels as at 30 September 2021

Company name	PA Investments	Total assets	PA ratio	Amount required to be compliant	Variance in compliance
Orchid	-	12,024.60	0.00%	1,202.46	10.00%
First Funeral	500.00	185,353.77	0.27%	18,535.38	9.73%
Foundations	2.65	155,698.95	0.00%	15,569.89	10.00%
Moonlight	3,008.08	1,703,532.09	0.18%	170,353.21	9.82%
Passion	-	35,456.53	0.00%	3,545.65	10.00%
Ruvimbo	193.75	63,463.70	0.31%	6,346.37	9.69%
Sunset	3,817.58	110,359.93	3.46%	11,035.99	6.54%
Vineyard	251.36	106,853.05	0.24%	10,685.30	9.76%
Total	7,773.42	2,372,742.62	0.33%	237,274.26	9.67%

Table 6 below shows the key financial highlights for the funeral assurance sector as at 30 September 2021.

Table 6: Key Performance Indicators

Key Performance Indicator	Funeral Assurers				
	Sep-21	Sep-20	Change	Sep -21 Inflation Adjusted	Change - Inflation Adjusted
Funeral assurers GWP (ZW\$000)	850,823.51	136,401.96	524%	561,599.84	313%
Total Gross Claims (ZW\$000)	185,332.54	36,661.42	406%	122,292.28	234%
Operating, Administration and Management Expenses (ZW\$ 000)	446,014.51	81,306.31	449%	294,304.11	262%
Commissions (ZW\$000)	62,410.32	8,631.32	623%	41,181.65	377%
Total Costs (ZW\$ 000)	693,757.37	126,599.05	448%	457,778.04	262%
Profit Before tax (ZW\$ 000)	139,681.91	13,214.94	957%	92,169.56	598%
Ratio Analysis	Sep-21	Sep-20	Change		
Expense Ratio	60%	66%	-6%		
Claims Ratio	22%	27%	-5%		
Combined Ratio	82%	93%	-11%		
Business Mix					
Total Number of Policies	116	136	-0.14777163	116	-0.14777163
Total Sum Assured	7,663,923.34	19,576,509.66	(0.61)	5,057,064.53	-0.74167691
	Sep-21	Jun-21	Change		
Total Assets (ZW\$ 000)	2,372,742.62	2,257,351.20	5%		
Current Liabilities	450,832.01	427,803.19	5%		
Capital - Net Assets (ZW\$ 000)	611,985.03	672,219.34	-9%		
Capital to liability Ratio	35%	42%	-8%		
Prescribed Assets (ZW\$ 000)	7,773.42	1,983.99	292%		
Prescribed Asset Ratio (%)	0.33%	0.09%	0.24%		

8. Reassurance

- 8.1. The Commission noted with concern that no funeral assurer had reinsurance arrangements in place for the nine months ended 30 September 2021, resulting in a reinsurance ratio of 0%.
- 8.2. The Commission continues to emphasise the need for funeral assurers to have reinsurance arrangements to effectively manage their risk exposures. Reinsurance arrangements are also important because they increase the capacity to write more business.
- 8.3. The need for reinsurance is more apparent given the continuous strain on the sector players' balance sheets, which is being caused by high claims experience because of the current Covid-19 pandemic.

9. Actuarial Matters

- 9.1. Total technical liabilities for the funeral assurance sector increased by 15% from ZW\$1.13 billion as at 30 June 2021 to 1.30 billion as at 30 September 2021. Future policyholders' benefits continue to be the major component of technical liabilities, accounting for 99.23%, while unearned premium reserve, gross outstanding claims and incurred but not reported claims accounted for an insignificant 0.77%.
- 9.2. Funeral assurers are continuously encouraged to exercise prudence in determining their reserves, to ensure that they are reflective of the various risks that they are exposed to.
- 9.3. In addition, players in the funeral assurance sector offer benefit policies whose cost moves in line with inflation; hence they should continuously review their reserves to align them with their liabilities.
- 9.4. The Commission notes that the development of mortality tables currently underway will improve reserving as well as pricing of the products by the sector.

10. Earnings

- 10.1. For the period under review, six (6) funeral assurers reported positive profit before interest and tax while two players reported losses.
- 10.2. The sector reported a nominal increase of 957% in profit before interest and tax from ZW\$13.21 million for the nine months ended 30 September 2020 to ZW\$139.68 million for the nine months to 30 September 2021.
- 10.3. The increase in profit before interest and tax was on account of a notable increase in nominal GPW as players reviewed premiums in line with the dynamic inflationary macroeconomic environment.
- 10.4. The sector's average expense ratio decreased from 65% for the six months ended 30 June 2021 to 60% as at 30 September 2021. This implies that for every dollar of the premium received sixty cents was spent on management and operational expenses.
- 10.5. It is important for all sector players to continuously monitor their expenses so that they are sustainable.
- 10.6. The average claims ratio and combined ratio stood at 22% and 82% respectively.
- 10.7. A summary of the claims incurred, operating expenses and total costs for each funeral assurer for the nine months to 30 September 2021, is shown in Appendix A5.

11. Liquidity

- 11.1. The funeral assurance sector reported an average current ratio of 163% indicating sufficient current assets to cover short-term contractual obligations and other current liabilities.
- 11.2. The Commission urges funeral assurers to practice liability-driven investing, to ensure that asset profiles in their investment portfolios match as much as possible their liability profiles in terms of maturity and timing.
- 11.3. Asset-liability mismatch may result in players holding either inadequate liquid assets to settle claims or too many liquid assets thereby foregoing investment opportunities that may yield positive returns.

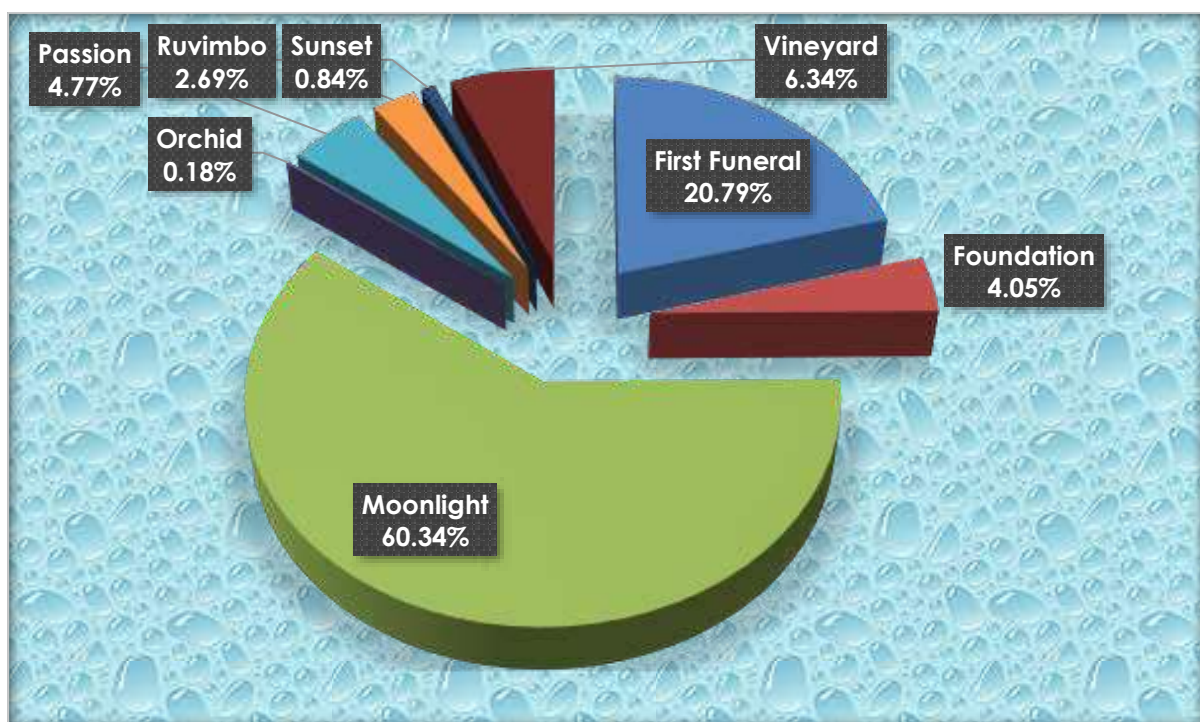
11.4. Funeral assurers are encouraged to hold adequate and appropriate short-term assets that can easily be liquidated to allow them to meet their statutory short-term debts, operational expenses and fulfil their claim obligations.

12. Market Share

12.1. For the nine months ended 30 September 2021, two players dominated the funeral assurance sector in terms of GPW, with a total market share of 81%. The remaining six (6) funeral assurers accounted for the balance of 19%.

12.2. The distribution of the market share in terms of GPW for the eight (8) funeral assurers is shown in Figure 6 below.

Figure 6: Market Share in terms of GPW as at 30 September 2021



13. Regulatory Developments for the Period Ending 30 September 2021

Circulars and Statutory Instruments

13.1. The Commission issued the following Statutory Instruments and Circulars to the insurance sector as shown in Table 7 below.

Table 7: Statutory and Circulars issued

Statutory Instrument (SI)	Date Gazetted	Purpose
S.I. 85 of 2021	26 March 2021	Revision of fees payable to the Commission
S.I. 86 of 2021	26 March 2021	Revision of levies payable to the Commission
Circular	Date Issued	Purpose
Circular 27 of 2021	16 September 2021	Notification of publication of the Insurance and Pensions Commissions amendment Bill in the government gazette.
Circular 26 of 2021	16 September 2021	Notification of the insurance bill in the Government Gazette.
Circular 25 of 2021	21 July 2021	Minimum Pension for the determination of commutations and preservation amounts in relation to pension fund members

Circular 24 of 2021	8 July 2021	Call for input on investment guidelines
Circular 23 of 2021	30 June 2021	ZICARP Framework.
Circular 21 of 2021	11 June 2021	Launch of ZICARP framework.
Circular 18 of 2021	31 May 2021	Issuance of the revised guideline on adjusting insurance and pensions values in response to the 2019 currency reforms.
Circular 17 of 2021	07 May 2021	Requests for inputs into the 2021 mid-term budget and economic review and the 2022 budget strategy paper.
Circular 15 of 2021	27 April 2021	Postponement of the launch of ZICARP.
Circular 14 of 2021	16 April 2021	Request for information on externalised risks.
Circular 13 of 2021	09 April 2021	Sector feedback session on the implementation of the Guidance Paper.
Circular 12 of 2021	29 March 2021	Notification of publication of IPEC Levy regulations.
Circular 11 of 2021	09 March 2021	ZICARP Programme – Own Risk and Solvency Assessment (ORSA).

Circular 10 of 2021	05 March 2021	Deadline extension for the submission of 2020 Audited Financial Statements and Actuarial Valuation Reports.
Circular 9 of 2021	04 March 2021	Submission of monthly management accounts by funeral assurers to the Commission
Circular 8 of 2021	24 February 2021	Issuance of the treating customers fairly framework
Circular 5 of 2021	17 February 2021	2021 Global Money Week Commemorations
Circular 4 of 2021	28 January 2021	Request for currency reforms compensation framework proposals
Circular 3 of 2021	19 January 2021	Request of information on foreign currency denominated business
Circular 2 of 2021	12 January 2021	Delivery of electronic mail to IPEC
Circular 1 of 2021	04 January 2021	Provision of necessary services during the lockdown.

14. Funeral Assurance Sector Complaints

14.1. During the quarter under review, the Commission received 1 complaint, which was resolved.

Nature of complaints	Number of complaints	% of total
Rejection of claims	1	100%
Total	1	100%

The complaint in this category related to a rejection of claim because of lapse in policies due to premium arrears.

The Commission encourages Funeral assurers to engage their clients regularly, especially when premiums are reviewed upwards so that policyholders have adequate information to make informed decisions.

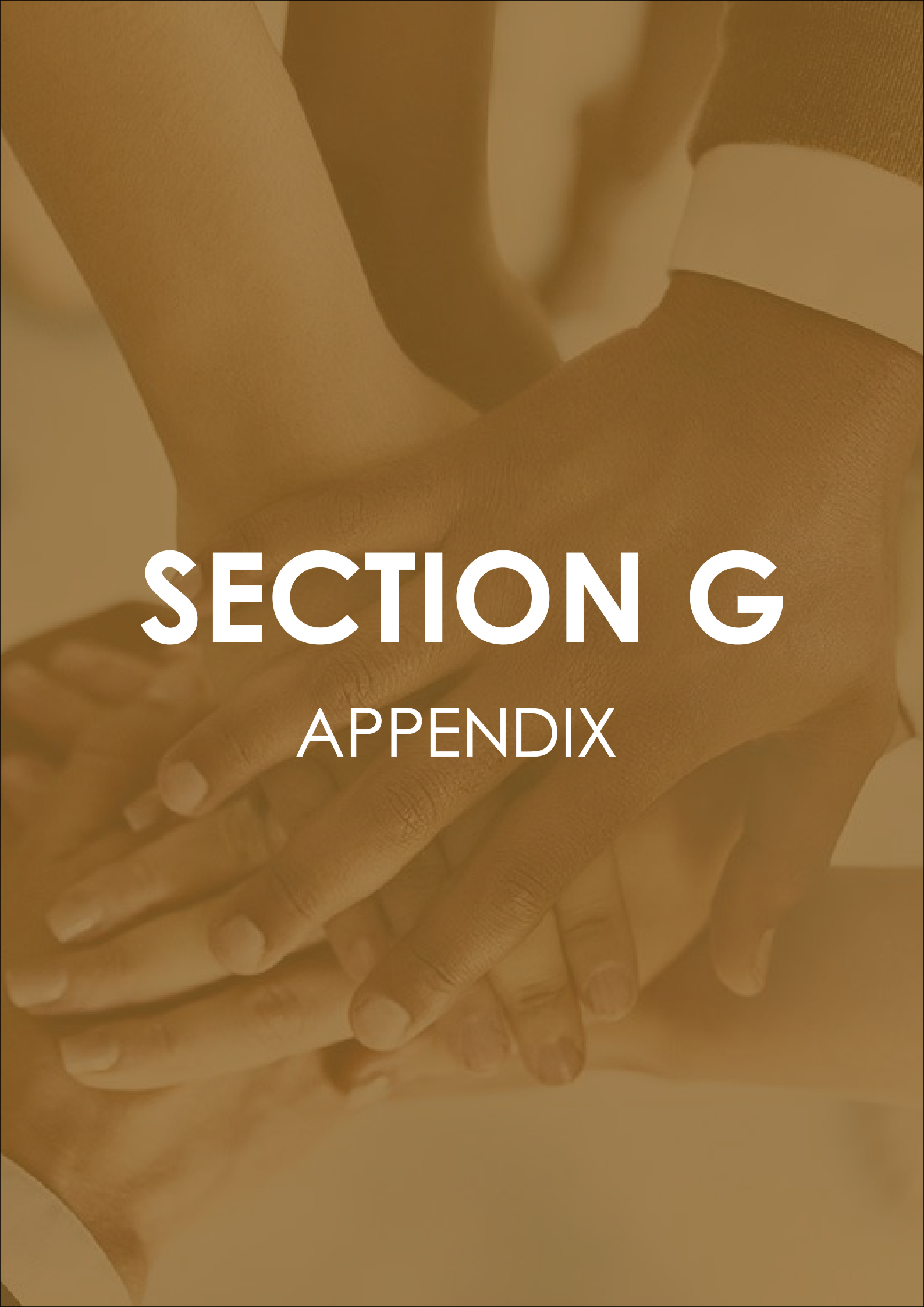
15. Conclusion

15.1. The funeral assurance sector players should strive to comply with all applicable laws and regulations particularly, on Minimum Capital Requirements and Prescribed Asset ratios.

15.2. The funeral sector should take note of the increased competition from the life assurance sector, which requires funeral assurers to have stronger balance sheets and realign their business models to compete effectively.

15.3. The players are also urged to have reinsurance arrangements in place as a risk management tool to manage loss experiences.





SECTION G

APPENDIX

APPENDIX A1. KEY PERFORMANCE INDICATORS FOR FUNERAL ASSURANCE COMPANIES									
	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total/ Average
Key Performance Indicator									
Capital Adequacy									
Capital Position i.e Net Assets (ZW\$ 000)	6,087	161,857	76,621	110,956	23,067	62,163	106,242	64,991	611,985
Capital Coverage Ratio (CCR)	16.23%	431.62%	204.32%	295.88%	61.51%	165.77%	283.31%	173.31%	204.00%
Equity/Total Assets Ratio	50.63%	87.32%	49.21%	6.51%	65.06%	97.95%	96.27%	60.82%	25.79%
Solvency Margin	102.53%	736.85%	101.46%	9.41%	0.00%	0.00%	15576.23%	848.41%	47.10%
Asset Quality									
Total Assets (ZW\$ 000)	12,025	185,354	155,699	1,703,532	35,457	63,464	110,360	106,853	2,372,743
Investments to Total Assets	24.95%	47.59%	8.83%	0.00%	3.68%	33.01%	88.97%	6.97%	9.81%
Non-Interest Generating Assets/Total Assets	74.90%	47.74%	89.74%	99.53%	70.42%	60.85%	9.98%	88.81%	88.60%
Fixed Assets/Total Assets	73.71%	37.31%	83.96%	90.19%	0.00%	48.35%	6.52%	71.24%	78.36%
Prescribed Assets Ratio	0.00%	0.27%	0.00%	0.18%	0.00%	0.31%	3.46%	0.24%	0.33%
Premium Debtors/Gross Premium	3.02%	10.92%	8.98%	3.29%	1.19%	33.12%	32.25%	23.57%	7.34%
Premium Debtors/Total Assets	0.38%	10.43%	1.99%	0.99%	1.37%	11.93%	2.09%	11.89%	2.63%
Reinsurance									
Risk Retention Ratio	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%
Actuarial									
UPR	23	0	0	0	0	0	0	0	23
Gross Outstanding Claims	0	215	0	586	0	0	0	0	801
Future Policyholder Benefits (ZW\$000)	5,914.24	21,750.93	75,515.68	1,177,927.00	-	-	682.08	7,660.34	1,289,450.27
Total Assets/Total Reserves	202.53%	843.82%	206.18%	144.55%	0.00%	0.00%	16179.96%	1394.89%	182.60%
Earnings									
Profit After Tax (ZW\$000)	-249.93	5,860.47	(1,220.28)	86,359.45	20,305.30	5,806.19	3,169.18	13,920.21	133,950.59
Return on Equity	-4.11%	3.62%	-1.59%	77.83%	88.03%	9.34%	2.98%	21.42%	21.89%
Return on Assets	-2.08%	3.16%	-0.78%	5.07%	57.27%	9.15%	2.87%	13.03%	5.65%
Loss(Claims) Ratio	6.95%	35.12%	7.32%	18.92%	29.79%	14.59%	24.02%	22.60%	22.29%
Net Commission Ratio	4.61%	28.97%	5.67%	2.07%	0.00%	0.00%	4.41%	4.10%	7.51%
Net Expense Ratio	104.94%	30.92%	93.21%	62.87%	0.00%	52.25%	2.13%	42.12%	52.42%
Combined Ratio	116.50%	90.20%	106.21%	83.86%	29.79%	65.52%	30.55%	66.79%	81.54%
Liquidity									
Current ratio	0.00%	5.47%	31.76%	245.80%	36.30%	14.73%	65.14%	112.46%	163%
Acid Test ratio									
Liquid assets as a percentage of total assets	25.10%	4.68%	1.42%	0.29%	25.85%	1.41%	1.05%	3.75%	1.44%
Market Shares									
Market Share Based on GPW	0.18%	20.79%	4.05%	60.34%	4.77%	2.69%	0.84%	6.34%	100%
Market Share Based on NPW	0.18%	20.79%	4.05%	60.34%	4.77%	2.69%	0.84%	6.34%	100%
Market Share Based on Total Assets	0.51%	7.81%	6.56%	71.80%	1.49%	2.67%	4.65%	4.50%	100%

APPENDIX A2. STATEMENT OF COMPREHENSIVE INCOME FOR FUNERAL ASSURERS FOR THE THIRD QUARTER ENDED 30 SEPTEMBER 2021 (ZWL\$000)									
	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
Gross Written Premiums	1,514.93	176,885.24	34,496.63	513,408.61	40,585.84	22,870.37	7,146.45	53,915.44	850,823.51
Reinsurance Premiums	-	-	-	-	-	-	-	-	-
Net Written Premiums	1,514.93	176,885.24	34,496.63	513,408.61	40,585.84	22,870.37	7,146.45	53,915.44	850,823.51
Increase/(Decrease) in UPR	-	13,271.64	-	-	-	2,079.12	-	4,083.20	19,433.96
Net Earned Premiums	1,514.93	163,613.60	34,496.63	513,408.61	40,585.84	20,791.24	7,146.45	49,832.24	831,389.55
Provision for Future Claims	-	-	-	-	-	-	-	-	-
Outstanding claims	-	-	-	586.27	-	-	-	-	586.27
Paid Claims	105.30	57,461.04	2,526.69	96,552.46	12,090.59	3,034.16	1,716.24	11,259.80	184,746.28
Net Claims	105.30	57,461.04	2,526.69	97,138.72	12,090.59	3,034.16	1,716.24	11,259.80	185,332.54
Net Commissions and Fees	69.81	47,398.31	1,956.61	10,627.17	-	-	315.05	2,043.37	62,410.32
Technical Result	1,339.82	58,754.25	30,013.34	405,642.72	28,495.26	17,757.08	5,115.16	36,529.06	583,646.69
Operating/Administration Expenses	1,589.75	54,689.52	32,155.07	164,612.51	-	11,950.89	-	1,260.15	266,257.89
Underwriting Profit/(Loss)	(249.93)	4,064.73	(2,141.74)	241,030.22	28,495.26	5,806.19	5,115.16	35,268.91	317,388.79
Management expenses	-	-	-	158,157.11	-	-	152.30	21,447.20	179,756.61
Investment Income	-	-	830.20	3,638.88	-	-	-	-	4,469.08
Unrealised Gains/Losses	-	-	-	-	180.11	-	-	420.75	600.86
Other expenses	-	18.66	-	7,127.79	8,374.31	-	1,811.67	-	17,332.43
Other Income	-	1,814.40	172.76	14,258.62	4.24	-	18.00	(1,955.80)	14,312.22
Profit Before Interest and Tax	(249.93)	5,860.47	(1,138.78)	93,642.82	20,305.30	5,806.19	3,169.18	12,286.66	139,681.91
Taxation	-	-	81.50	7,283.37	-	-	-	-	7,364.87
Interest Payments	-	-	-	-	-	-	-	3,326.90	-
Profit After Tax and Interest	(249.93)	5,860.47	(1,220.28)	86,359.45	20,305.30	5,806.19	3,169.18	13,920.21	133,950.59
Transfer to policyholders funds									-
Dividends									-
Retained Income	(249.93)	5,860.47	(1,220.28)	86,359.45	20,305.30	5,806.19	3,169.18	13,920.21	133,950.59

APPENDIX A3. STATEMENT OF FINANCIAL POSITION FOR FUNERAL ASSURERS AS AT 30 SEPTEMBER 2021 (ZWL\$000)									
	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
ASSETS									
Non-Current Assets									
Property and Equipment	8,863.14	69,160.68	130,729.17	1,536,485.29	1.29	30,682.12	7,197.95	76,126.94	1,859,246.57
Investment Property	-	87,665.02	13,750.80	-	640.00	20,755.67	98,184.95	7,450.00	228,446.44
Investments in Securities	-	535.27	-	-	664.87	193.75	2.18	-	1,396.07
Intercompany Investments	-	-	-	-	-	-	-	-	-
Other Non-Current Assets	-	-	2.65	3,008.08	16.45	3,002.92	-	507.31	6,537.41
Total Non-Current Assets	8,863.14	157,360.96	144,482.62	1,539,493.37	1,322.62	54,634.46	105,385.08	84,084.25	2,095,626.49
Technical Assets									
Reinsurers' Share of O/S Claims	-	-	-	-	-	-	-	-	-
Deferred Acquisition Cost (DAC)	-	-	-	-	-	-	-	-	-
Total Technical Assets	-	-	-	-	-	-	-	-	-
Current Assets									
Cash & cash equivalents	18.82	8,655.55	2,218.41	4,951.86	9,166.51	895.20	1,157.27	4,001.99	31,065.62
Short Term Investments	2,999.73	13.48	-	-	-	-	-	-	3,013.21
Prescribed Assets	-	-	-	-	-	-	-	-	-
Inventory and Other Assets	97.18	-	5,898.99	142,176.22	24,483.25	360.00	1,513.08	6,059.06	180,587.78
Accounts Receivables	45.72	19,323.78	3,098.94	16,910.64	484.15	7,574.04	2,304.51	12,707.74	62,449.53
Total Liquid Assets	3,018.55	8,669.03	2,218.41	4,951.86	9,166.51	895.20	1,157.27	4,001.99	34,078.83
Total Assets	12,024.60	185,353.77	155,698.95	1,703,532.09	35,456.53	63,463.70	110,359.93	106,853.05	2,372,742.62
Liabilities									
Deferred Tax Liabilities	-	-	-	340,174.55	(100.14)	-	-	17,607.14	357,681.55
Future policyholders benefits	5,914.24	21,750.93	75,515.68	1,177,927.00	-	-	682.08	7,660.34	1,289,450.27
Short term loans	-	-	-	-	-	-	-	-	-
Long term Loans	-	-	-	10,860.98	-	-	195.05	8,595.11	19,651.14
Current Tax provisions	-	-	-	-	-	-	-	-	-
Gross Outstanding Claims	-	215.00	-	586.27	-	-	-	-	801.27
IBNR	-	-	-	-	-	-	-	-	-
UPR	22.90	-	-	-	-	-	-	-	22.90
Creditors	-	-	-	-	-	-	608.69	-	608.69
Amount due to related companies	-	-	-	-	-	-	-	-	-
Other Liabilities	-	1,531.26	3,562.16	63,027.62	12,489.32	1,300.34	2,632.09	7,998.99	92,541.77
Total Technical Liabilities/Reserves	5,937.14	21,965.93	75,515.68	1,178,513.27	9,166.51	-	682.08	7,660.34	1,299,440.95
Current Liabilities	-	1,531.26	3,562.16	403,202.17	12,389.17	1,300.34	3,240.78	25,606.14	450,832.01
Total Liabilities	5,937.14	23,497.19	79,077.84	1,592,576.42	12,389.17	1,300.34	4,117.91	41,861.59	1,760,757.59
Shareholders's Equity									
Share Capital	13.54	411.44	-	1,500.07	1,048.90	930.00	352.17	211.24	4,467.36
Share Premium	1,334.09	1,610.00	-	-	-	22,500.00	-	977.74	26,421.83
Revaluation & Other Reserves	6,154.27	148,081.05	134,957.16	1,132,028.46	430.13	9,886.30	102,320.84	36.00	1,533,894.21
Retained Profit	(1,414.44)	11,754.09	(58,336.05)	(1,022,572.86)	21,588.33	28,847.07	3,569.02	63,766.48	(952,798.37)
Shareholders's Equity	6,087.46	161,856.58	76,621.11	110,955.67	23,067.36	62,163.37	106,242.03	64,991.46	611,985.03
TOTAL EQUITY & LIABILITIES	12,024.60	185,353.77	155,698.95	1,703,532.09	35,456.53	63,463.70	110,359.93	106,853.05	2,372,742.62

APPENDIX A4 GROSS WRITTEN PREMIUMS BREAKDOWN AS AT 30 SEPTEMBER 2021

Name of Company	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)				
	New Business			Recurring Premiums			New Business			Recurring Premiums							
	Sep-21	Sep-20	Change (%)	Sep-21	Sep-20	Change (%)	Sep-21	Sep-20	Change (%)	Sep-21	Sep-20	Change (%)	Sep-21	Sep-20	Change (%)	Sep-21 Inflation Adjusted	Change - Inflation Adjusted
First Funeral	153.00	14.92	925%	71,082.76	8,871.44	701%	-	14,822.07	-100%	105,649.47	-	-	176,885.24	23,708.43	646%	116,718.29	392%
Foundation	69.56	98.45	-29%	34,427.07	6,007.90	473%	-	-	-	-	-	-	34,496.63	6,106.35	465%	22,762.71	273%
Moonlight	13,147.65	3,488.30	277%	500,260.97	83,151.30	502%	-	-	-	-	-	-	513,408.61	86,639.60	493%	338,774.33	291%
Orchid	-	7.42	-100%	491.29	36.54	1245%	-	-	-	1,023.64	193.94	428%	1,514.93	237.89	537%	999.63	320%
Passion	-	-	-	6,147.55	1,808.46	240%	236.65	-	-	34,201.64	4,724.18	624%	40,585.84	6,532.64	521%	26,780.70	310%
Ruvimboko	6,861.11	1,231.77	457%	16,009.26	2,874.13	457%	-	-	-	-	-	-	22,870.37	4,105.89	457%	15,091.09	268%
Sunset	959.35	50.34	1806%	6,187.09	406.12	1423%	-	-	-	-	-	-	7,146.45	456.46	1466%	4,715.61	933%
Vineyard	358.30	40.00	796%	13,740.87	609.20	2156%	969.52	107.66	801%	38,846.76	7,857.84	394%	53,915.44	8,614.70	526%	35,576.28	313%
TOTAL	21,548.97	4,931.20	337%	648,346.86	103,765.07	525%	1,206.16	14,929.73	-92%	179,721.51	12,775.95	1307%	850,823.51	136,401.96	524%	561,418.64	312%

APPENDIX A5 COST AND EARNINGS ANALYSIS FOR THE FUNERAL ASSURANCE INDUSTRY AS AT 30 SEPTEMBER 2021

Co. Name	NPW (000)			Claims (000)			Commissions(000)			Management Expenses (000)			Total Costs(000)			Combined Ratio		
	Sep-21	Sep-20	Change	Sep-21	Sep-20	Change	Sep-21	Sep-20	Change	Sep-21	Sep-20	Change	Sep-21	Sep-20	Change	Sep-21	Sep-20	Change
First Funeral	176,885.24	23,708	646%	57,461	8,941.35	543%	47,398.31	5,617	744%	54,690	8,259.05	562%	159,548.87	22,818	599%	90%	96%	-6%
Foundation	34,496.63	6,106	465%	2,527	640.27	295%	1,956.61	337	481%	32,155	5,706.84	463%	36,638.37	6,684	448%	106%	109%	-3%
Moonlight	513,408.61	86,640	493%	97,139	20,059.26	384%	10,627.17	2,025	425%	322,770	61,945.17	421%	430,535.51	84,030	412%	84%	97%	-13%
Orchid	1,514.93	238	537%	105	16.13	553%	69.81	-	0%	1,590	54.20	2833%	1,764.86	70	2409%	116%	30%	87%
Passion	40,585.84	6,533	521%	12,091	2,939.69	311%	-	8	-100%	-	1,981.65	-100%	12,090.59	4,930	145%	30%	75%	-46%
Ruvimboko	22,870.37	4,106	457%	3,034	507.81	498%	-	-	0%	11,951	1,992.21	500%	14,985.05	2,500	499%	66%	61%	5%
Sunset	7,146.45	456	1466%	1,716	33.86	4969%	315.05	8	3795%	152	1,061.95	-86%	2,183.59	1,104	98%	31%	242%	-211%
Vineyard	53,915.44	8,615	526%	11,260	3,523.06	220%	2,043.37	635	222%	22,707	305.25	7339%	36,010.53	4,464	707%	67%	52%	15%
Total	850,823.51	136,401.96	524%	185,333	36,661.42	406%	62,410.32	8,631	623%	446,015	81,306.31	449%	693,757.37	126,599	448%	82%	93%	-11%